

If you own a home, you probably have some homeowners insurance. But if you're like a lot of homeowners, you don't have enough coverage—or you're paying too much. And if you rent, you may never even have thought about buying any coverage.

Three Basic Types of Coverage If You Own a Home

Homeowners insurance covers the cost of rebuilding or repairing your home (and surrounding structures such as a detached garage) if it's destroyed or damaged by disasters such as fire, lightning, snow, or windstorm. It also covers the *contents* of your home up to a fixed dollar amount in the event of many of these same disasters—as well as theft. And it can also protect you if you're held responsible (also known as “liable”) for injuring people or damaging property, even when you're away from home. Here's a more detailed rundown of each type of protection.

- **Your home's structure.** You need to buy enough insurance to cover the full cost of rebuilding your home. To figure out approximately how much it would cost to rebuild, contact a local builders association or insurance agent and find out the “building cost per square foot” in your area. (These professionals won't charge you for this information. A real estate appraiser can also answer the question but may charge a fee.) Multiply the number of square feet in your home by the local square foot building cost. This will give you an idea of how much it would cost to rebuild your home.
- **The contents of your home.** Standard homeowners policies usually cover your personal property for 50% to 70% of the amount you insured your home's structure for. So if you insured the structure for \$200,000, your home's contents would automatically be insured for \$100,000 to \$140,000. You can increase the amount of coverage you have for a fee. Make sure your **personal property insurance** covers you for **replacement cost**, not **actual cash value**, of your home's contents. Coverage for replacement cost gives you enough money to buy new comparable items to replace your belongings. Coverage for actual cash value pays you the